

Brazil for Linux

One of the biggest backers of Linux is Brazil, where almost the entire IT infrastructure of the federal government is based on Linux

Red Hat in India

Due to the rapid adoption of Red Hat Linux in India, the company has started a development centre in Pune

Lucrative Open Source

tunity for third-party companies to develop and sell documentation for popular Open Source products.

Modularisation

Some products have multiple offerings differing in features for the product. While the basic one is available for free in the Open Source format, some advanced features are available as a commercial option (examples would be WSAD and Sun Studio). Often the premium version will have some basic customer support rolled in, as explained above.

As an individual or a company, you can also develop add-ons or modules for the Open Source product which you can sell commercially. Because of the Open Source nature, it's easier to develop add-ons which integrate well and give superior functionality.

Custom solutions

Often it happens that for a huge enterprise the commercial solution is too costly or not technologically sufficient for its needs but the Open Source solution is slightly generic and doesn't integrate well with its existing system. This calls for specific customisation and addition of a few features. Some companies offer rewards to have specific features implemented in OSS that they use for their own business functions. Many times there's no need for the feature to remain Closed Source, so significant code is contributed back to the community. This is known as the beekeeper model of Open Source development. For example, Google contributed a lot of code to WINE (a project to run a Windows application on Linux) when it wanted products such as Picasa and Chrome running flawlessly on Linux without rewriting the whole code base.

Dual licenses

A powerful approach is to offer software under two alternative legal licences – one, a copyleft license requiring modifications to be released back to the community if the software is distributed, and a commercial license allowing the use of the software without Open Source restrictions. For example, when Nokia wanted to use Qt (a graphical base UI system used in KDE) in its mobile phones, but wanted to keep the development Closed Source, it went ahead and purchased (for \$153 million from mobile software maker Trolltech) the commercial development license for the same.

Products based on OSS

As the startup cost of proprietary technology can prove to be prohibitive, you can use Open Source development tools to build your products. Twitter made very scalable and massive applications using completely Open Source technologies such as Ruby on Rails. Similarly, IBM built services and products around Open Source instead of competing with it. And how is it doing for its investors? Well, for comparison if you would have put \$100 in Microsoft 10 years ago you would now have about \$70, while a similar investment in IBM would have resulted in about \$140.

S3 (Cloud Storage) and EC2 (Cloud computing) by Amazon are other great examples of the same.

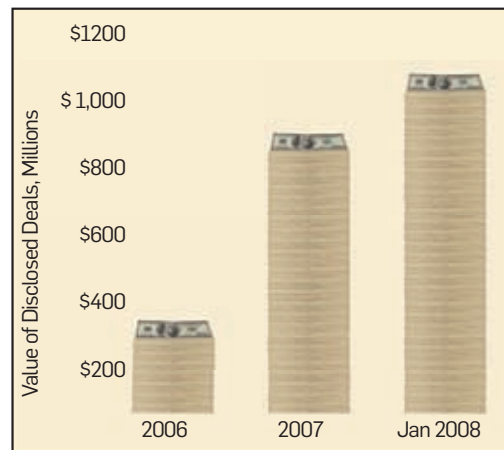
Reputation

As an individual, if you make noteworthy contributions to an Open Source project which is even moderately popular, your employment worthiness increases

exponentially in terms of choices and remuneration. High profile developers might even get paid to continue working on their Open Source contributions.

Acquisition and partnerships

If your Open Source project catches steam and you can provide a quality product, then companies are looking to acquire you and your team for the skill and intel-



Investment into Open Source Companies

lectual property. Want to guess how big this gets? Consider the following: Sun Microsystems announced the purchase of Open Source pioneer MySQL for \$1 billion, while Open Source mail-client firm Zimbra was acquired by Yahoo in late 2007 for a staggering \$350 million.

What are you waiting for?

We've tried to cover various options for monetising the Open Source development model as an individual, organisation, third-party support or as the original developer of the product. Hoping these pointers will lead to better technology products and sprout some millionaires among our readers. ■



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